

The update, intended to enhance security, instead triggered a “blue screen of death” (BSOD) across various industries. Airlines grounded flights, passengers at Indian airports received handwritten boarding passes, and hospitals and businesses faced significant disruptions.

The economic impact, though not yet fully quantified, is substantial. A report by Cloud Zero, a cloud cost intelligence platform, suggests that on an average, an hour of internet outage is likely to cost countries across the globe over \$106,399,033. “Just one minute of the internet being down is likely to cost Amazon

Jake Moore, Global Security Advisor at cybersecurity firm ESET, has pointed out that the frequency of such outages will rise due to the rising number of online users and traffic. In fact, the BSOD incident led many to suspect a cyberattack, highlighting the importance of these services and their widespread impact.

Crucially, the incident raises concerns about single points of failure within critical technology ecosystems. A big question everyone is asking is that after this mega outage, where lies the solution? Reliance on a single vendor, such as CrowdStrike, can expose

software vendors and businesses can also help identify potential issues early and address them proactively,” he adds.

To resolve the issue, some users had to restart their systems, while others required IT support. During the aftermath of the mega outage, CrowdStrike began to face significant backlash, with notable figures such as Elon Musk publicly criticising the company. Musk even announced on X: “We just deleted CrowdStrike from all our systems.”

Cybersecurity expert Jiten Jain tells *Business Today* that businesses need to rethink their approach when it comes to recovery plans.

SUDDEN IMPACT

1 On July 19, 2024, a routine software update from CrowdStrike caused a huge global IT outage

2 The outage affected an estimated 8.5 million Windows devices worldwide, bringing businesses to a standstill

3 The CrowdStrike outage incident has propelled experts to call for a diversification in cybersecurity measures

4 Experts also say that we need to go for a multi-vendor approach, rather than put all our eggs in one basket by relying on one vendor

\$1.1 million, rocketing to \$1.6 billion across 24 hours,” the report notes. For India, the cost is likely to be a whopping \$59,626,768.

Steve Grobman, Executive Vice President and Chief Technology Officer of security software company McAfee, has noted that opportunistic scammers began exploiting the global IT outage, adding another layer of complexity to the situation. Consumers faced difficulties accessing services like banking, airlines, and healthcare, and had to be vigilant against scams exploiting the resulting confusion.

organisations to unforeseen disruptions. Instead, experts are now advocating that there’s a need for diversification and redundancy in cybersecurity strategies.

Manu Dwivedi, Partner and Leader of Cybersecurity at PwC India, says that the importance of adopting a multi-vendor approach, rigorous testing of updates, and enhancing system resilience through robust backup and recovery solutions, could be the way out.

“We know that while some level of risk is inevitable in a growing digital world, improving collaboration and communication between

Currently, companies focus on geographically dispersed backups, cloud storage, and offline data copies. “A comprehensive disaster recovery plan should now encompass the possibility of a total ecosystem failure. This requires a focus on offline capabilities, leveraging human resources and manual processes to maintain critical business functions, even at reduced capacity,” he explains.

There are other experts who believe that employees need to be educated about proper procedures during outages. Some have called for a standard operating